Verdant Grid: Climate-Tech Market Entry Assessment

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Fictional case written for the sample data set. Verdant Grid is not a real company.

Situation

Verdant Grid builds software that lets owners of grid-scale batteries and solar farms bid flexibly into power markets. After three European deployments it asked whether to enter the US market and, if so, which region and customer segment to start with.

Approach

We scored 14 US power markets on price volatility, storage policy support, and speed of interconnection. We interviewed 19 developers, utilities and market operators, and sized the serviceable market bottom-up from storage capacity under development.

Key findings

1. Demand is concentrated. Three markets (Texas, California and the Mid-Atlantic) hold 71% of storage capacity under development and have the volatility that makes software-driven bidding valuable.

2. The binding constraint is the interconnection queue, not demand. Median wait in the interconnection queue is 4.1 years in California and 2.6 years in Texas, so near-term revenue depends on projects already in the queue.

3. Developers buy on proven revenue uplift. Prospects wanted a 12-month back-test on their own sites before signing, and rated references from US operators above European case studies.

4. Utilities are a slower but larger channel. Procurement cycles run 14 to 20 months, with pilots funded from innovation budgets.

Recommendation

Enter Texas first with independent power producers, where merchant exposure is highest and sales cycles are shortest (6 to 9 months). Pursue one utility pilot in the Mid-Atlantic in parallel to build references. Defer California until the team has a US operations lead.

Milestones for the first 18 months

Months 0-3: hire a US head of customer success and sign two back-test pilots. Months 4-9: convert pilots to contracts and reach 150 MW under management. Months 10-18: launch the utility pilot and decide on California.

Risks

Policy reversal on storage tax credits; slower-than-expected queue reform; competition from incumbent asset managers bundling bidding software with operations contracts.